THE COMPANIES ACT, 2013

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260. [*Omitted*.].
261. [*Omitted*.].
262. [*Omitted*.].
263. [*Omitted*.].
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265. [*Omitted*.].
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[*Omitted*.].

304. [*Omitted*.].
305. [*Omitted*.].
306. [*Omitted*.].
307. [*Omitted*.].
308. [*Omitted*.].
309. [*Omitted*.].
310. [*Omitted*.].
311. [*Omitted*.].
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THE COMPANIES ACT, 2013

ACT NO. 18 OF 2013

[29*th August*, 2013.]

An Act to consolidate and amend the law relating to companies.

BE it enacted by Parliament in the Sixty-fourth Year of the Republic of India as follows:—

CHAPTER I

PRELIMINARY

1. Short title, extent, commencement and application.—(*1*) This Act may be called the Companies Act, 2013.

(*2*) It extends to the whole of India.

(*3*) This section shall come into force at once and the remaining provisions of this Act shall come into force on such date[1] as the Central Government may, by notification in the Official Gazette, appoint and *different dates may

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***1. 12th September, 2013** – S. 2(*1*),(*3*), (*4*), (*5*), (*6*), (*8*), (*9*), (*10*), (*11*), (*12*), (*14*), (*15*), (*16*), (*17*), (*18*), (*19*), (*20*), (*21*), (*22*), (*24*), (*25*), (*26*), (*27*), (*28*), (*29*) [except sub-clause (iv)], (*30*), (*32*), (*33*), (*34*), (*35*), (*36*), (*37*), (*38*), (*39*), (*40*), (*43*), (*44*), (*45*), (*46*), (*49*), (*50*), (*51*), (*52*), (*53*), (*54*), (*55*), (*56*), (*57*), (*58*), (*59*), (*60*), (*61*), (*63*), (*64*), (*65*), (*66*), (*67*) [except sub-clause (*ix*)], (*84*), (*86*),(*87*) [except the proviso and *Explanation* (*d*)], (*88*), (*89*), (*90*), (*91*), (*92*), (*93*), (*94*), (*95*); s. 19, 21, 22, 23 [except clause (*b*) of sub-section (*1*) and sub-section (*2*)], 24, 25 [except sub-section (*3*)], 29, 30, 31, 32, 33 [except sub-section (*3*)], 34, 35 [except clause (*e*) of sub-section *(1)*], 36, 37, 38 39 [except sub-section (*4*)], 40 [except sub-section (*6*)], 44, 45, 49, 50, 51, 57, 58, 59, 60, 65, 69, 70 [except sub-section (*2*)], 86, 91, 100 [except sub-section (*6*)], 102, 103, 104, 105 [except the third and fourth provisos of sub-section (*1*) and sub-section (*7*)], 106, 107, 111, 112, 113 [except clause (*b*) of sub-section (*1)*], 114, 116, 127, 133, 161 [except sub-section (*2*)], 162, 163, 176, 180, 181, 182, 183, 185, 192, 194,195, 202, 379, 382, 383, 386 [except clause (*a)*], 394, 405, 407, 408, 409, 410, 411, 412, 413, 414, 439, 443, 444, 445, 446, 447, 448, 449, 450, 451, 452, 453, 456, 457, 458, 459, 460, 461, 462, 463, 467, 468, 469, 470, *vide* notification No. S.O. 2754(E), dated 12th September, 2013, *see* Gazette of India, Extraordinary, Part II, sec. 3(*ii*).

1st April 2014 – S. 2(*2*), (*7*), (*13*), (*31*), (*41*), (*42*), (*47*), (*48*), (*62*), (*83*), (*85*) and *Explanation* (*d*) of clause (*87*); ss. 3, 4, 5, 6; s. 7 [except sub-section (*7*)]; s. 8 [except sub-section (*9*)]; ss. 9, 10, 11, 12 and 13; s. 14 [except second proviso to sub-section (*1*) and sub-section (*2*)]; ss. 15, 16, 17 and 18; section 20; clause (*b*) of sub-section (*1*) and sub-section (*2*) of section 23; sub-section (*3*) of section 25; ss. 26, 27 and 28; sub-section (*3*) of s. 33; clause (*e*) of sub-section (*1*) of s. 35; sub-section (*4*) of s. 39; sub-section (*6*) of s. 40; ss. 41, 42 and 43; ss. 46 and 47; ss. 52, 53 and 54; s. 55 [except sub-section (*3*)]; s. 56; s. 61 [except proviso to clause (*b*) of sub-section (*1*)]; s. 62 [except sub-sections (*4*) to (*6*)]; ss. 63 and 64; ss. 67 and 68; sub-section (*2*) of section 70; s. 71 [except sub-sections (*9*) to (*11*)]; ss. 72 and 73; sub-section (*1*) of s. 74; ss. 76, 77, 78, 79, 80, 81, 82, 83, 84 and 85; ss. 87, 88, 89 and 90; ss. 92, 93, 94, 95 and 96; sub-section (*6*) of s.100; s. 101; third and fourth provisos to sub-section (*1*) and sub-section (*7*) of s. 105; ss. 108, 109 and 110; clause (*b*) of sub-section (*1*) of s. 113; s. 115; ss. 117and 118; s. 119 [except sub-section (*4*)]; ss. 120, 121, 122 and 123; s. 126; ss. 128 and 129; s.134; ss. 136, 137, 138 and 139; s. 140 [except second proviso to sub-section (*4*) and sub-section (*5*)]; ss. 141, 142, 143, 144, 145, 146, 147, 148, 149, 150, 151, 152, 153, 154, 155, 156, 157, 158, 159 and 160; sub-section (*2*) of s. 161; ss. 164, 165, 166, 167 and 168; s. 169 [except sub-section (*4*)]; ss. 170, 171, 172, 173, 174 and 175; ss. 177, 178 and 179; s. 184; ss. 186, 187, 188, 189, 190 and 191; s. 193; ss. 196, 197, 198, 199, 200 and 201; ss. 203, 204, 205, 206, 207, 208, 209, 210 and 211; s. 212 [except references of sub-section (*10*) of s. 66, sub-section (*5*) of s. 140], s. 213, sub-section (*1*) of s. 251 and sub-section (*3*) of s. 339 made in sub-section (*6*) and also sub-sections (*8*) to (*10*)]; ss. 214, 215; s. 216 [except sub-section (*2*)]; s. 217; ss. 219 and 220; s. 223; s. 224 [except sub-sections (*2*) and (*5*)]; s. 225; ss. 228 and 229; ss. 366, 367, 368and 369; s. 370 (except the proviso); s. 371; s. 374; ss. 380and 381; ss. 384and 385; clause (*a*) of s. 386; ss. 387, 388, 389and 390; sub-section (*1*) of s. 391; ss. 392 and 393; ss. 395, 396, 397and 398; s. 399 [except reference of word Tribunal in sub-section (*2*)]; ss. 400, 401, 402, 403and 404; s. 406; s. 442; ss. 454and 455; s. 464; Schs. I, II, III, IV, V and VI, *vide* notification No. S.O. 902(E), dated 26th March, 2014, *see* Gazette of India, Extraordinary, Part II, sec.3(*ii*).

1st April, 2014 – S. 135 and Sch. VII, *vide* notification No. S.O. 582(E), dated 27th February, 2014, *see* Gazette of India, Extraordinary, Part II, sec. 3 (ii).

6th June, 2014 –Sub-sections (*2*) and (*3*) of s. 74, *vide* notification No. S.O. 1459(E), dated 6th June, 2014, *see* Gazette of India, Extraordinary, Part II, sec. 3(*ii*).

13th January, 2016–S. 125(*5*), (6) [except with respect to the manner of administration of the Investor Education and Protection Fund] and (7), *vide* notification No. S.O. 125(E), *see* Gazette of India, Extraordinary, Part II, sec. 3(ii).

18th May, 2016-S. 2(*29*) (*iv*), ss. 435 to 438 and s. 440, *vide* notification No. S.O. 1795(E), dated 18th May, 2016, *see* Gazette of India, Extraordinary, Part II, sec. 3(ii).

1st June, 2016-S. 7(*7*) [except clause (*c*) and (*d*)], s. 14(*2*), second proviso to sub-section (*1*) of s. 14, s. 55 (*3*), proviso to clause (*b*) of sub-section (*1*) of s. 61; s. 62 (*4*) to (*6*), s. 71 (*9*), (*10*) and (*11*), s. 75; s. 97; s. 98 and s. 99; S. 119 (*4*), s. 130 and 131; second proviso to sub-section (*4*) and (*5*) of s. 140, s. 169(*4*), s. 213, s. 216 (*2*), s. 218, s. 221, s. 222, s. 224 (*5*), ss. 241, 242 [except clause (*b*) of sub-section (*1*), cls. (*c*) and (*g*) of sub-section (*2*)], 243, 244 and 245; Reference of word "Tribunal" s. 399 (*2*),ss. 415 to 433, s. 434 (*1*) (*a*) and (*b*) & (2), s. 441and 466, *vide* notification No. S.O. 1934(E), dated 1st June, 2016, *see* Gazette of India, Extraordinary Part II, sec. 3(ii).

7th September, 2016-S. 124, s. 125 (1) to (4), (6) [with respect to the manner of administration of the Investor Education and Protection Fund] and (8) to (11) *vide* Notification No. S.O. 2866(E), dated 5th September, 2016, *see* Gazette of India, Extraordinary, Part II, sec. 3(ii).

9th September, 2016- S. 227, 242 (1) (b), (2) (c) & (g), s. 246, Ss. 337 to 341 (to the extent of their applicability for s. 246), *vide* notification No. S.O. 2912(E), dated 9th September, 2016, *see* Gazette of India, Extraordinary, Part II, sec. 3(ii).

15th December, 2016-S. 2 (23), s.7 (*7*) (*c*) and (*d*), s. 8 (9), s. 48, s. 66, s. 224 (2), s. 226, s. 230 [except sub-section (*11*) and (*12*)], and ss. 231 to 233, ss. 235 to 240, ss. 270 to 288, ss. 290 to 303, ss. 324, ss. 326 to 365, proviso to s. 370, ss. 372 to 373, ss. 375 to 378, s. 391 (*2*), s. 434 (*1*) cl. (c) *vide* notification No. S.O. 3677(E), dated 7th December, 2016, *see* Gazette of India, Extraordinary Part II, sec. 3 (ii).

26th December, 2016-Ss. 248 to 252, *vide* notification No. S.Ó. 4167(E), dated 26th December, 2016, *see* Gazette of India, Extraordinary Part II, sec. 3 (ii).

13th April, 2017- S. 234, *vide* notification No. S.O. 1182(E), dated 13th April, 2017, *see* Gazette of India, Extraordinary Part II, sec. 3 (ii).

24th August, 2017-S. 212 (*8*), (*9*) and (*10*), *vide* notification No. S.O. 2751(E), dated 24th August, 2017, *see* Gazette of India, Extraordinary Part II, sec. 3 (ii).

20th September, 2017-Proviso to clause (87) of s. 2, *vide* notification No. S.O. 3086(E), dated 20th September, 2017, *see* Gazette of India, Extraordinary Part II, sec. 3 (ii).

18th October, 2017-S. 247, *vide* notification No. S.O. 3393(E), dated 18th October, 2017, *see* Gazette of India, Extraordinary Part II, sec. 3(ii).

21st March, 2018- S. 132 (*3*) and (11), *vide* notification No. S.O. 1316(E), dated 21st March, 2018, *see* Gazette of India, Extraordinary Part II, sec. 3(ii).

1st October, 2018- S.132 (1) and (12), *vide* notification No. S.O. 5098(E), dated 1st October, 2018, *see* Gazette of India, Extraordinary Part II, sec. 3(ii).

24th October, 2018- S. 132 (2), (4), (5), (10), (13), (14) and (15) *vide* notification No. S.O. 5385(E), dated 24th October, 2018, *see* Gazette of India, Extraordinary Part II, sec. 3(ii).

30th January, 2019- S.465 in so far as they relate to the repeal of the Companies Act, 1956 (1 of 1956) [that in except in so far as they relate to the repeal of the Registration of Companies (Sikkim) Act, 1961 (Sikkim Act 8 of 1961)] *vide* notification No. S.O. 560(E), dated 30th January 2019, *see* Gazette of India, Extraordinary Part II, sec. 3(ii).

1st July, 2019-S. 81, *vide* notification No. S.O. 2269(E), dated 15th August, 2019, *see* Gazette of India, Extraordinary Part II, sec. 3(ii).

3rd February, 2020-S. 230 (11) and (12), *vide* notification No. S.O. 525(E), dated 3rd February, 2020, *see* Gazette of India, Extraordinary, Part II, sec. 3(ii).

21st December, 2020-S. 1, 3,6 to 10 (both inclusive), s. 12 to 17 (both inclusive), clauses (a) and (b) of s. 18, s. 19 to 21 (both inclusive), clause (i) of s. 22, 24,26, 28 to 31 (both inclusive), s. 33 to 39 (both inclusive), s. 41 to 44 (both inclusive), s. 46 to 51 (both inclusive), s. 54, 57, 61 and 63, *vide* notification No. S.O. 4646(E), dated 21st December, 2020, *see* Gazette of India, Extraordinary, Part II, sec. 3 (ii).

*. *Vide* Notification No. S.O. 3912 (E), dated 30th October, 2019, this Act is made applicable to the Union territory of Jammu and Kashmir and the Union territory of Ladakh.

22nd January, 2021- Sections. 2, 11, clause (*c*) of sec. 18, Clause (*ii*) Sec. 22, Sections. 25, 27, 53, 55, 58, 60, 59, 62, 64, 65, *vide* notification No. S.O. 325(E), dated 21st January, 2021, *see* Gazette of India, Extraordinary, Part II, sec. 3 (*ii*).

11th February, 2021- Sections. 52 & 66, *vide* notification No. S.O. 644(E), dated 11th February, 2021, *see* Gazette of India, Extraordinary, Part II, sec. 3 (*ii*).

18th March, 2021-Sections. 32 & 40, *vide* notification No. S.O. 1255(E), dated 18th March, 2021, *see* Gazette of India, Extraordinary, Part II, sec. 3 (*ii*).

1st September, 2021-Section. 4, *vide* notification No. S.O. 2904(E), dated 22nd July, 2021, *see* Gazette of India, Extraordinary, Part II, sec. 3 (*ii*).

1st July, 2022-Section. 56, *vide* notification No. S.O. 148(E), dated 11th January, 2022, *see* Gazette of India, Extraordinary, Part II, sec. 3 (*ii*).

30th October, 2023-Section. 5, *vide* notification No. S.O. 4744(E), dated 30th October, 2023, *see* Gazette of India, Extraordinary, Part II, sec. 3 (*ii*).

be appointed for different provisions of this Act and any reference in any provision to the commencement of this Act shall be construed as a reference to the coming into force of that provision.

(*4*) The provisions of this Act shall apply to—

(*a*) companies incorporated under this Act or under any previous company law;

(*b*) insurance companies, except in so far as the said provisions are inconsistent with the provisions of the Insurance Act, 1938 (4 of 1938) or the Insurance Regulatory and Development Authority Act, 1999 (41 of 1999);

(*c*) banking companies, except in so far as the said provisions are inconsistent with the provisions of the Banking Regulation Act, 1949 (10 of 1949);

(*d*) companies engaged in the generation or supply of electricity, except in so far as the said provisions are inconsistent with the provisions of the Electricity Act, 2003 (36 of 2003);

(*f*) such body corporate, incorporated by any Act for the time being in force, as the Central Government may, by notification, specify in this behalf, subject to such exceptions, modifications or adaptation, as may be specified in the notification.

2. Definitions.—In this Act, unless the context otherwise requires,—

(*1*) "abridged prospectus" means a memorandum containing such salient features of a prospectus as may be specified by the Securities and Exchange Board by making regulations in this behalf;

(*2*) "accounting standards" means the standards of accounting or any addendum thereto for companies or class of companies referred to in section 133;

(*3*) "alter" or "alteration" includes the making of additions, omissions and substitutions;

(*4*) "Appellate Tribunal" means the National Company Law Appellate Tribunal constituted under section 410;

(*5*) "articles" means the articles of association of a company as originally framed or as altered from time to time or applied in pursuance of any previous company law or of this Act;

(*6*) "associate company", in relation to another company, means a company in which that other company has a significant influence, but which is not a subsidiary company of the company having such influence and includes a joint venture company.

[1][*Explanation*.—For the purpose of this clause,—

(*a*) the expression "significant influence" means control of at least twenty per cent. of total voting power, or control of or participation in business decisions under an agreement;

(*b*) the expression "joint venture" means a joint arrangement whereby the parties that have joint control of the arrangement have rights to the net assets of the arrangement;]

(*7*) "auditing standards" means the standards of auditing or any addendum thereto for companies or class of companies referred to in sub-section (*10*) of section 143;

(*8*) "authorised capital" or "nominal capital" means such capital as is authorised by the memorandum of a company to be the maximum amount of share capital of the company;

(*9*) "banking company" means a banking company as defined in clause (*c*) of section 5 of the Banking Regulation Act, 1949 (10 of 1949);

(*10*) "Board of Directors" or "Board", in relation to a company, means the collective body of the directors of the company;

(*11*) "body corporate" or "corporation" includes a company incorporated outside India, but does not include—

(*i*) a co-operative society registered under any law relating to co-operative societies; and

(*ii*) any other body corporate (not being a company as defined in this Act), which the Central Government may, by notification, specify in this behalf;

(*12*) "book and paper" and "book or paper" include books of account, deeds, vouchers, writings, documents, minutes and registers maintained on paper or in electronic form;

(*13*) "books of account" includes records maintained in respect of—

1. The *Explanation* subs. by Act 1 of 2018, s. 2 (w.e.f. 7-5-2018).

(*i*) all sums of money received and expended by a company and matters in relation to which the receipts and expenditure take place;

(*ii*) all sales and purchases of goods and services by the company;

(*iii*) the assets and liabilities of the company; and

(*iv*) the items of cost as may be prescribed under section 148 in the case of a company which belongs to any class of companies specified under that section;

(*14*) "branch office", in relation to a company, means any establishment described as such by the company;

(*15*) "called-up capital" means such part of the capital, which has been called for payment;

(*16*) "charge" means an interest or lien created on the property or assets of a company or any of its undertakings or both as security and includes a mortgage;

(*17*) "chartered accountant" means a chartered accountant as defined in clause (*b*) of sub-section (*1*) of section 2 of the Chartered Accountants Act, 1949 (38 of 1949) who holds a valid certificate of practice under sub-section (*1*) of section 6 of that Act;

(*18*) "Chief Executive Officer" means an officer of a company, who has been designated as such by it;

(*19*) "Chief Financial Officer" means a person appointed as the Chief Financial Officer of a company;

(*20*) "company" means a company incorporated under this Act or under any previous company law;

(*21*) "company limited by guarantee" means a company having the liability of its members limited by the memorandum to such amount as the members may respectively undertake to contribute to the assets of the company in the event of its being wound up;

(*22*) "company limited by shares" means a company having the liability of its members limited by the memorandum to the amount, if any, unpaid on the shares respectively held by them;

[1][(*23*) "Company Liquidator" means a person appointed by the Tribunal as the Company Liquidator in accordance with the provisions of section 275 for the winding up of a company under this Act;]

(*24*) "company secretary" or "secretary" means a company secretary as defined in clause (*c*) of sub-section (*1*) of section 2 of the Company Secretaries Act, 1980 (56 of 1980) who is appointed by a company to perform the functions of a company secretary under this Act;

(*25*) "company secretary in practice" means a company secretary who is deemed to be in practice under sub-section (*2*) of section 2 of the Company Secretaries Act, 1980 (56 of 1980);

(*26*) "contributory" means a person liable to contribute towards the assets of the company in the event of its being wound up.

Explanation.—For the purposes of this clause, it is hereby clarified that a person holding fully paid-up shares in a company shall be considered as a contributory but shall have no liabilities of a contributory under the Act whilst retaining rights of such a contributory;

(*27*) "control" shall include the right to appoint majority of the directors or to control the management or policy decisions exercisable by a person or persons acting individually or in concert, directly or indirectly, including by virtue of their shareholding or management rights or shareholders agreements or voting agreements or in any other manner;

1. Subs. by Act 31 of 2016, s. 255 and the Eleventh Schedule, for clause (*23*) (w.e.f. 15-11-2016).

[1][(*28*) "Cost Accountant" means a cost accountant as defined in clause (*b*) of sub-section (*1*) of section 2 of the Cost and Works Accountants Act, 1959 (23 of 1959) and who holds a valid certificate of practice under sub-section (*1*) of section 6 of that Act;]

(*29*) "court" means—

(*i*) the High Court having jurisdiction in relation to the place at which the registered office of the company concerned is situate, except to the extent to which jurisdiction has been conferred on any district court or district courts subordinate to that High Court under sub-clause (*ii*);

(*ii*) the district court, in cases where the Central Government has, by notification, empowered any district court to exercise all or any of the jurisdictions conferred upon the High Court, within the scope of its jurisdiction in respect of a company whose registered office is situate in the district;

(*iii*) the Court of Session having jurisdiction to try any offence under this Act or under any previous company law;

(*iv*) the Special Court established under section 435;

(*v*) any Metropolitan Magistrate or a Judicial Magistrate of the First Class having jurisdiction to try any offence under this Act or under any previous company law;

(*30*) "debenture" includes debenture stock, bonds or any other instrument of a company evidencing a debt, whether constituting a charge on the assets of the company or not:

[2][Provided that—

(*a*) the instruments referred to in Chapter III-D of the Reserve Bank of India Act, 1934 (2 of 1934); and

(*b*) such other instrument, as may be prescribed by the Central Government in consultation with the Reserve Bank of India, issued by a company,

shall not be treated as debenture;]

(*31*) "deposit" includes any receipt of money by way of deposit or loan or in any other form by a company, but does not include such categories of amount as may be prescribed in consultation with the Reserve Bank of India;

(*32*) "depository" means a depository as defined in clause (*e*) of sub-section (*1*) of section 2 of the Depositories Act, 1996 (22 of 1996);

(*33*) "derivative" means the derivative as defined in clause (*ac*) of section 2 of the Securities Contracts (Regulation) Act, 1956 (42 of 1956);

(*34*) "director" means a director appointed to the Board of a company;

(*35*) "dividend" includes any interim dividend;

(*36*) "document" includes summons, notice, requisition, order, declaration, form and register, whether issued, sent or kept in pursuance of this Act or under any other law for the time being in force or otherwise, maintained on paper or in electronic form;

(*37*) "employees' stock option" means the option given to the directors, officers or employees of a company or of its holding company or subsidiary company or companies, if any, which gives such directors, officers or employees, the benefit or right to purchase, or to subscribe for, the shares of the company at a future date at a pre-determined price;

1. Subs. by Act 1 of 2018, s. 2, for clause (*28*) (w.e.f. 9-2-2018).
2. The Proviso ins. by s. 2, *ibid*. (w.e.f. 9-2-2018).

(*38*) "expert" includes an engineer, a valuer, a chartered accountant, a company secretary, a cost accountant and any other person who has the power or authority to issue a certificate in pursuance of any law for the time being in force;

(*39*) "financial institution" includes a scheduled bank, and any other financial institution defined or notified under the Reserve Bank of India Act, 1934 (2 of 1934);

(*40*) "financial statement" in relation to a company, includes—

(*i*) a balance sheet as at the end of the financial year;

(*ii*) a profit and loss account, or in the case of a company carrying on any activity not for profit, an income and expenditure account for the financial year;

(*iii*) cash flow statement for the financial year;

(*iv*) a statement of changes in equity, if applicable; and

(*v*) any explanatory note annexed to, or forming part of, any document referred to in sub-clause (*i*) to sub-clause (*iv*):

Provided that the financial statement, with respect to One Person Company, small company and dormant company, may not include the cash flow statement;

(*41*) "financial year", in relation to any company or body corporate, means the period ending on the 31st day of March every year, and where it has been incorporated on or after the 1st day of January of a year, the period ending on the 31st day of March of the following year, in respect whereof financial statement of the company or body corporate is made up:

[1][Provided that where a company or body corporate, which is a holding company or a subsidiary or associate company of a company incorporated outside India and is required to follow a different financial year for consolidation of its accounts outside India, the Central Government may, on an application made by that company or body corporate in such form and manner as may be prescribed, allow any period as its financial year, whether or not that period is a year:

Provided further that any application pending before the Tribunal as on the date of commencement of the Companies (Amendment) Act, 2019, shall be disposed of by the Tribunal in accordance with the provisions applicable to it before such commencement;]

[2][Provided also *that*] a company or body corporate, existing on the commencement of this Act, shall, within a period of two years from such commencement, align its financial year as per the provisions of this clause;

(*42*) "foreign company" means any company or body corporate incorporated outside India which—

(*a*) has a place of business in India whether by itself or through an agent, physically or through electronic mode; and

(*b*) conducts any business activity in India in any other manner;

(*43*) "free reserves" means such reserves which, as per the latest audited balance sheet of a company, are available for distribution as dividend:

Provided that—

(*i*) any amount representing unrealised gains, notional gains or revaluation of assets, whether shown as a reserve or otherwise, or

(*ii*) any change in carrying amount of an asset or of a liability recognised in equity, including surplus in profit and loss account on measurement of the asset or the liability at fair value,

shall not be treated as free reserves;

1. The proviso subs. by Act 22 of 2019, s. 2 (w.e.f. 2-11-2018).
2. Subs. by s. 2, *ibid.*, for "Provided further that" (w.e.f. 2-11-2018).